

PRODUCT MANAGEMENT ASSIGNMENT

# Zepto

## AOV Optimisation Strategy

Segment Behaviour · Basket Expansion · Prioritisation · Roadmap · KPIs

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**Sections:** 10 Key Sections

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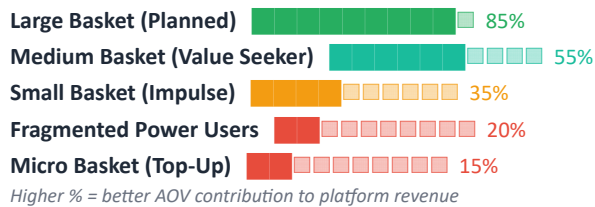
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## 01 Segment Behaviour & AOV Impact

## Understanding the 5 user archetypes and their basket dynamics

Zepto's user base segments into five distinct groups by basket size, order frequency, and shopping intent. Each contributes differently to AOV and requires a tailored intervention strategy.

## AOV Contribution by Segment



### Segment Summary Matrix

| Segment                         | Basket (INR) | % Users | Frequency  | AOV Impact  | PM Opportunity                               | Reason                   |
|---------------------------------|--------------|---------|------------|-------------|----------------------------------------------|--------------------------|
| Micro Basket<br>(Top-Up)        | 100–300      | 30–40%  | 3–5x/week  | Very Low    | Threshold nudges<br>Checkout add-ons         | Small urgent orders      |
| Small Basket<br>(Impulse)       | 300–600      | 25–30%  | 2–4x/week  | Low–Mid     | Smart bundling<br>Cross-sell recs            | Impulse purchases        |
| Medium Basket<br>(Value Seeker) | 600–1,000    | 15–20%  | 1–2x/week  | Stable      | Tiered incentives<br>Personalised thresholds | Balanced baskets         |
| Large Basket<br>(Planned)       | 1,000–2,000+ | 10–15%  | 1–4x/month | High        | Subscriptions<br>Bulk discounts              | Planned grocery shopping |
| Fragmented Power Users          | 400–1,200    | 10–15%  | 5–10x/week | Hidden Loss | Consolidation nudges<br>Wait & save prompts  | Split orders             |

★ **Key insight:** Current AOV is suppressed because 40% of users place micro urgent orders, and power users split purchases across multiple small orders instead of one large basket.

→ **Key Insight:** Improving AOV requires nudging users to add more items, consolidate purchases, and explore more categories.

## 02 Key Blockers to Basket Expansion

Why users are not adding more items — a structured barrier analysis

### Urgency-Driven User Intent

01 Users open the app with a single urgent need — they search directly, skip discovery, and checkout immediately with 1–2 items. The 'I just need this quickly' mindset dominates ~79% of sessions.

Type: Psychological Stage: Home · Search

### Free Delivery Threshold Anchoring

02 Users treat the free delivery threshold as the maximum to spend, not a minimum. 74% stop adding items once the threshold is reached — creating an artificial ceiling on basket size.

Type: Pricing Stage: Cart Stage

### Low Category Discovery

03 Users repeatedly buy from only 1–3 categories (milk, bread, eggs). Discovery surfaces are too weak to surface home care, personal care, frozen foods, or ready-to-eat. Only 10% are likely to explore new categories.

Type: Structural Stage: Home · Browse

### Low Perceived Cost of Splitting Orders

04 Because delivery is fast and cheap, users feel no urgency to consolidate. 'I'll order again in 10 minutes' — leading to fragmented orders and hidden AOV loss across multiple small baskets.

Type: Behavioural Stage: Checkout

### Weak Cart Upsell Experience

05 The cart functions as a checkout page, not an upsell opportunity. It lacks contextual recommendations, bundled suggestions, or occasion-based add-ons. 89% find recommendations only 'somewhat useful' — high visibility, low action.

Type: Experiential Stage: Cart Stage

### Where Basket Expansion Breaks in the Journey

| Journey Stage | What Users Do                          | Why Expansion Breaks                                           |
|---------------|----------------------------------------|----------------------------------------------------------------|
| Home Page     | Search for a specific item immediately | Does not encourage basket-building or use-case discovery       |
| Search        | Add the exact item searched for        | No strong cross-category suggestions surfaced                  |
| Cart          | Review cart and checkout quickly       | Recommendations are generic and not contextual                 |
| Checkout      | Finalise purchase                      | No incentive to increase basket beyond free delivery threshold |

! **Key Insight:** Basket expansion breaks primarily at the Search → Cart stage. This is where product intervention has the highest leverage.

Type of Issues Affecting Basket Expansion

| Type            | Explanation                                        |
|-----------------|----------------------------------------------------|
| Psychological   | Users treat quick commerce as an “emergency store” |
| Structural      | Product flow prioritises speed over discovery      |
| Pricing-related | Free delivery threshold acts as spending ceiling   |
| Experiential    | Recommendations are weak or poorly contextualized  |

Root Cause Analysis

| Blocker                 | User Behaviour                | Root Cause Type | Journey Stage  | AOV Impact      |
|-------------------------|-------------------------------|-----------------|----------------|-----------------|
| Urgency mindset         | Orders only the needed item   | Psychological   | Home / Search  | Very low basket |
| Free delivery anchoring | Stops adding at the threshold | Pricing         | Cart           | Artificial cap  |
| Limited discovery       | Buys from same few categories | Structural      | Home / Search  | Low diversity   |
| Weak recommendations    | Ignores suggested items       | Experiential    | Cart           | Missed upsell   |
| Order fragmentation     | Places multiple small orders  | Behavioural     | Entire journey | Hidden AOV loss |

Core Root Cause

Zepto is used as an urgent top-up solution rather than a basket-building shopping experience. Users optimise for speed and convenience, not cart value — leading to fragmented and smaller baskets.

## 03 Problem Statements

PM format: Users currently... because... which results in...

Each problem statement is structured using the standard PM framework, mapping user behaviour to the root cause and its measurable impact on AOV.

### Urgency-Driven Small Baskets

PS-1

**Users currently** place small, urgency-driven orders with only 1–2 items,

**Because** *they open the app with a specific need and rarely explore additional categories,*

**Which results in** **low basket sizes and suppressed AOV across the majority of orders.**

### Free Delivery Ceiling Effect

PS-2

**Users currently** stop adding items once the free delivery threshold is reached,

**Because** *the platform frames the threshold as the goal rather than a minimum for further value,*

**Which results in** **an artificial cap on basket size and limited AOV growth.**

### Low Category Penetration

PS-3

**Users currently** reorder familiar items without exploring new categories,

**Because** *the product experience does not encourage or reward discovery of new categories,*

**Which results in** **low category penetration and consistently smaller baskets.**

### Generic Recommendation Failure

PS-4

**Users currently** ignore product recommendations in the cart,

**Because** *recommendations are generic and not relevant to the items already in their cart,*

**Which results in** **missed upsell opportunities and lower AOV than achievable.**

### Order Fragmentation

PS-5

**Users currently** place multiple small orders instead of consolidating purchases,

**Because** *fast delivery removes any urgency or incentive to plan ahead or consolidate,*

**Which results in** **fragmented orders and a hidden loss in effective AOV.**

## 04 Proposed Solutions

Three high-impact interventions to expand basket size and lift AOV

### Solution 1: Contextual Basket Completion Engine

Transform the cart into a smart, use-case-driven assistant that suggests contextual add-ons based on what the user is buying — meal-based and occasion-driven, not generic SKU recommendations.

#### How It Works

When a user adds Bread + Milk, the engine surfaces:

**"Complete your breakfast"**

- Eggs, Butter, Jam, Bananas
- Personalised to time of day and past behaviour
- Targets Micro Basket and Impulse user segments

#### Why It Works

- Users think in use-cases (meals, occasions), not SKUs
- Reduces cognitive effort of deciding what else to buy
- Leverages completeness bias — users prefer finishing a set

| Criteria    | Rating       | Rationale                          |
|-------------|--------------|------------------------------------|
| AOV Impact  | High         | Increases items per order directly |
| Complexity  | High         | Requires ML + Contextual logic     |
| Cost        | Low - Medium | Minimal direct cost                |
| Scalability | Very High    | Improves over time with more data  |
| Risk        | Low          | Proven in other marketplaces       |



**Key Insight:** Converts single-item intent into multi-item basket. Increases items per order and expands category penetration over time.

## Solution 2: Tiered Reward Ladder (Beyond Free Delivery)

Replace the single free delivery threshold with a multi-tier incentive ladder displayed as a real-time progress bar in the cart, rewarding users for incrementally higher cart values.

| Cart Target | Reward          | Strategic Intent              |
|-------------|-----------------|-------------------------------|
| INR 199     | Free Delivery   | Entry tier - already exists   |
| INR 299     | Free Chocolate  | First value-add reward        |
| INR 399     | INR 40 Cashback | Cash-equivalent reward        |
| INR 499     | Free Ice-cream  | Premium reward - highest pull |

### Evaluation Matrix

| Criteria    | Rating    | Rationale                              |
|-------------|-----------|----------------------------------------|
| AOV Impact  | Very High | Directly pushes beyond threshold       |
| Complexity  | Medium    | Pricing + Backend + UI Changes         |
| Cost        | Medium    | Incentive Cost (Cashback/Freebies)     |
| Scalability | Very High | Works across all users types           |
| Risk        | Medium    | Margin pressure if incentives too high |

### Behavioural Mechanism

- Uses goal-gradient effect — users accelerate spending closer to a reward
- Shifts 'I've reached enough' → 'I'm close to getting more value'
- Converts INR 200 carts → INR 300–500 carts



**Key Insight:** Every rupee spent beyond INR 199 now has a tangible reward — removing the artificial ceiling behaviour permanently.



### Solution 3: Smart Order Consolidation Nudges

Encourage users to bundle purchases instead of placing multiple small orders through predictive nudges and time-based incentives at key decision moments.

| Nudge Type         | Trigger Point   | Example Message                                                  | Mechanism                   |
|--------------------|-----------------|------------------------------------------------------------------|-----------------------------|
| Pre-checkout nudge | Before checkout | "You often order snacks later. Add them now & save on delivery." | Predictive + loss aversion  |
| Post-order nudge   | After checkout  | "Add items in next 10 mins to combine delivery."                 | Timer urgency + convenience |
| Smart reminder     | Following day   | "You ordered milk yesterday. Running low on eggs?"               | Habit pattern + prediction  |



**Key Insight:** 83% of users find the 'add within 10 mins' mechanism appealing — a clear signal of strong product-market fit for post-order nudges.

#### Evaluation Matrix

| Criteria    | Rating        | Rationale                        |
|-------------|---------------|----------------------------------|
| AOV Impact  | Medium - High | Combines multiple orders         |
| Complexity  | Low           | Simple Nudges + notifications    |
| Cost        | Low           | Minimal Cost                     |
| Scalability | Medium        | Limited to specific users        |
| Risk        | Medium        | May affect perceived convenience |

#### Comparative Summary

| Solution            | AOV Impact  | Complexity | Cost   | Scalability | Risk   |
|---------------------|-------------|------------|--------|-------------|--------|
| Tiered Rewards      | High        | Medium     | Medium | High        | Medium |
| Basket Engine       | High        | High       | Low    | High        | Low    |
| Consolidated Nudges | Medium-High | Low        | Low    | Medium      | Medium |

#### Final Summary

| Solution            | Primary Impact                        | Key Lever             |
|---------------------|---------------------------------------|-----------------------|
| Tiered Rewards      | Increases cart value beyond threshold | Pricing psychology    |
| Basket Engine       | Adds more items per order             | Behavioral nudging    |
| Consolidated Nudges | Combines multiple orders              | Behavioral + economic |

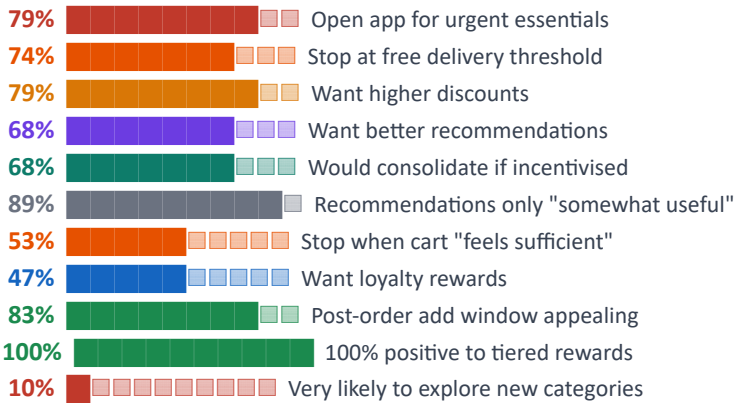
## 05 Quantitative Data Snapshot - User Feedback Insights

The numbers — visualised and ranked by AOV impact severity

**Survey Link:** <https://www.surveymonkey.com/r/XQMXK92>

The chart below ranks each data point by its magnitude and severity of AOV impact. Higher percentages in the "suppressor" tier represent stronger brakes on basket growth.

### User Behaviour Data — Ranked by AOV Suppression Severity



Higher bar = stronger signal. Green = opportunity. Red/Orange = suppressor of AOV growth.

**Alert:** Discovery is the most critically broken dimension — only 10% likelihood to explore new categories represents a near-complete failure of product-led growth.

## 06 Product Assumptions vs User Reality

Comparison between Assumptions and Reality

| What the Product Assumes                        | What Users Actually Do                              |
|-------------------------------------------------|-----------------------------------------------------|
| Users want to browse and discover products      | Most users come with a single-item intent           |
| Free delivery threshold encourages higher spend | Users treat it as the maximum spend limit           |
| Recommendations drive basket expansion          | Most recommendations are ignored or passively noted |
| Fast checkout improves user experience          | It removes the only opportunity to add more items   |
| Users plan purchases before opening the app     | Purchases are reactive and urgency-driven           |

**Key Insight:** The product is built for speed; users need moments of discovery. Solving AOV means introducing deliberate, well-timed friction at the right stages of the journey.

## 07 Solution Comparison Matrix - User Feedback

Side-by-side evaluation across AOV impact, feasibility, and user validation

The matrix below evaluates all four solutions across five dimensions: AOV impact, user validation, implementation complexity, cost, and scalability. Use this to guide prioritisation and sequencing decisions.

### Full Comparison Matrix

| Dimension            | S1: Next Best Item Engine | S2: Reward Ladder      | S3: Basket Builder   |
|----------------------|---------------------------|------------------------|----------------------|
| AOV Impact           | High                      | Very High              | High                 |
|                      | (items per order)         | (cart value uplift)    | (basket expansion)   |
| User Validation      | 89% passive → active      | 100% positive          | 79% urgency = target |
|                      | conversion potential      | response               | behaviour            |
| Complexity           | High                      | Medium                 | Medium               |
|                      | (ML + contextual logic)   | (pricing + UI changes) | (bundles + logic)    |
| Cost                 | Low–Medium                | Medium                 | Low–Medium           |
|                      | (tech investment)         | (incentive cost)       | (data + build)       |
| Scalability          | Very High                 | Very High              | High                 |
|                      | (improves with data)      | (all users)            | (all urgency users)  |
| Risk                 | Low                       | Very Low               | Low                  |
|                      | (proven pattern)          | (100% validation)      | (works with intent)  |
| Addresses Insight(s) | 4, 5                      | 2, 5, 6                | 1, 3                 |
| Recommended Timing   | Phase 2                   | Phase 1                | Phase 2              |
|                      | (Month 2–4)               | (Month 0–2)            | (Month 2–4)          |

### Recommended Prioritisation Order

| Priority | Solution            | Lead Reason                                                  | Expected AOV Impact                 |
|----------|---------------------|--------------------------------------------------------------|-------------------------------------|
| #1       | Reward Ladder (S2)  | 100% user validation + removes #1 AOV suppressor immediately | +15–25% on threshold basket         |
| #2       | Basket Builder (S3) | Addresses 79% of sessions — highest volume opportunity       | +10–20% from single-intent sessions |
| #3       | Next Best Item (S1) | Foundational ML layer — improves over time, highest ceiling  | +15–25% long-term items per order   |



**Key Insight:** S2 is quick wins (Phase 1). S3 and S1 are core investments (Phase 2). All three together create a compounding AOV flywheel.

## 08 Prioritisation — RICE Framework

Reach × Impact × Confidence ÷ Effort — objective ranking of solutions

The RICE framework provides an objective, quantitative basis for prioritising product interventions. Each solution is scored across four dimensions to produce a final comparable score.



|                                                                                                                                                                     |                                                                                                                                                                        |                                                                                                                                                                    |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <div>Tiered Reward Ladder</div> <div>115</div> <div>RICE Score</div> <div>Reach 8/10</div> <div>Impact 9/10</div> <div>Confidence 8/10</div> <div>Effort 5/10</div> | <div>Basket Completion Engine</div> <div>84</div> <div>RICE Score</div> <div>Reach 9/10</div> <div>Impact 8/10</div> <div>Confidence 7/10</div> <div>Effort 6/10</div> | <div>Consolidation Nudges</div> <div>72</div> <div>RICE Score</div> <div>Reach 6/10</div> <div>Impact 8/10</div> <div>Confidence 6/10</div> <div>Effort 4/10</div> |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------|

### Detailed RICE Scoring

|                                    |       |                                      |                                     |       |                                     |
|------------------------------------|-------|--------------------------------------|-------------------------------------|-------|-------------------------------------|
| Tiered Reward Ladder · RICE: 115.2 |       |                                      | Basket Completion Engine · RICE: 84 |       |                                     |
| Metric                             | Score | Rationale                            | Metric                              | Score | Rationale                           |
| Reach                              | 8/10  | Most users see pricing thresholds    | Reach                               | 9/10  | Almost all users interact with cart |
| Impact                             | 9/10  | Directly pushes higher cart value    | Impact                              | 8/10  | Directly increases items per order  |
| Confidence                         | 8/10  | Strong behavioural economics backing | Confidence                          | 7/10  | Proven in other marketplaces        |
| Effort                             | 5/10  | Moderate backend + UI changes        | Effort                              | 6/10  | Requires ML + UX improvements       |

|                                 |       |                                        |
|---------------------------------|-------|----------------------------------------|
| Consolidation Nudges · RICE: 72 |       |                                        |
| Metric                          | Score | Rationale                              |
| Reach                           | 6/10  | Targets fragmented / power users only  |
| Impact                          | 8/10  | Can significantly increase basket size |
| Confidence                      | 6/10  | Behaviour change is harder to achieve  |
| Effort                          | 4/10  | Relatively easier to implement         |

Comparative Solution Summary

| Solution                 | AOV Impact | Complexity | Cost   | Scalability | Risk   | RICE Score |
|--------------------------|------------|------------|--------|-------------|--------|------------|
| Tiered Reward Ladder     | Very High  | Medium     | Medium | Very High   | Medium | 115.2      |
| Basket Completion Engine | High       | High       | Low    | Very High   | Low    | 84         |
| Consolidation Nudges     | Med-High   | Low        | Low    | Medium      | Medium | 72         |

Final Prioritisation Ranking

| Rank | Solution                 | RICE Score | Priority               | Rationale                                                                 |
|------|--------------------------|------------|------------------------|---------------------------------------------------------------------------|
| #1   | Tiered Reward Ladder     | 115.2      | HIGH — Launch First    | Highest RICE. Direct AOV lever. Fastest to deploy. Solves the #1 blocker. |
| #2   | Basket Completion Engine | 84         | HIGH — Core Investment | Strong reach + impact. Foundational ML capability for long-term gains.    |
| #3   | Consolidation Nudges     | 72         | MEDIUM — Phase 3       | Targets smaller segment. Behavioural change takes longer to materialise.  |



**Key Insight:** Tiered Reward Ladder ranks first — highest RICE score, fastest deployment, directly addresses the #1 AOV suppressor: the free delivery ceiling.

## 09 Product Roadmap — Execution Plan

Three-phase rollout over 0–6 months to deliver AOV uplift

The roadmap is sequenced to deliver quick wins first, followed by foundational platform investment and long-term behavioural optimisation. Each phase builds on the previous.

|                                                                                |                                                                                                                                                                                                                                                                                                                                                           |                                                                                                                                                            |
|--------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <div>Phase 1</div> <div>Months 0–2</div> <div>Tiered Reward Ladder</div>       | <div>Key Actions</div> <ul style="list-style-type: none"><li>Design multi-tier reward system (INR 199 / 299 / 399 / 499)</li><li>Build cart progress bar UI component</li><li>Set up backend incentive engine and A/B test framework</li><li>Define reward cost vs. incremental revenue guardrails</li></ul>                                              | <div>Expected Outcome</div> <div>Immediate AOV lift of INR 30–50 per order. Break the free delivery ceiling. +20% orders above INR 300 threshold.</div>    |
| <div>Phase 2</div> <div>Months 2–4</div> <div>Basket Completion Engine</div>   | <div>Key Actions</div> <ul style="list-style-type: none"><li>Build contextual ML recommendation layer (meal / occasion-based)</li><li>Focus on top use-cases: Breakfast, Snacks, Dinner Prep</li><li>Integrate with cart UI as 'Complete your basket' module</li><li>Instrument attach rate, CTR, and category penetration metrics</li></ul>              | <div>Expected Outcome</div> <div>Increase items per order. Improve category penetration. AOV uplift of +10–20% from recommendation-driven additions.</div> |
| <div>Phase 3</div> <div>Months 4–6</div> <div>Order Consolidation Nudges</div> | <div>Key Actions</div> <ul style="list-style-type: none"><li>Add pre-checkout nudge: 'You often order snacks later — add now &amp; save'</li><li>Enable post-order 10-minute add window with push notification</li><li>Run time-window bundling experiments with incentives</li><li>Track consolidation rate, repeat order interval, AOV impact</li></ul> | <div>Expected Outcome</div> <div>Reduce order fragmentation. Increase effective AOV by +12–18%. Decrease orders per user per week by 10–15%.</div>         |

### Roadmap Timeline Overview

|                                                                                                                                          |                                                                                                                                              |                                                                                                                                           |
|------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------|
| <div>Month 0–2</div> <div>Phase 1</div> <div>Tiered Reward Ladder</div> <div>Quick Win — INR 30–50 AOV lift</div> <div>RICE: 115.2</div> | <div>Month 2–4</div> <div>Phase 2</div> <div>Basket Completion Engine</div> <div>Core Investment — Items per order</div> <div>RICE: 84</div> | <div>Month 4–6</div> <div>Phase 3</div> <div>Consolidation Nudges</div> <div>Behavioural — Reduce fragmentation</div> <div>RICE: 72</div> |
|------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------|

|   |                                                                                                                                                                    |
|---|--------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| ✓ | <div>Key Insight:</div> This phased approach balances quick wins with long-term behavioural change and can drive a 20–30% increase in overall AOV within 6 months. |
|---|--------------------------------------------------------------------------------------------------------------------------------------------------------------------|

# 10 KPIs & Success Metrics

How we measure success — primary metrics, secondary guardrails, North Star

## North Star Metrics — Tracked Across All Solutions

|                     |                       |                          |                      |
|---------------------|-----------------------|--------------------------|----------------------|
| <b>AOV +20–30%</b>  | <b>Items +25%</b>     | <b>Revenue +15–20%</b>   | <b>Category +15%</b> |
| Average Order Value | Items per Order       | Revenue per User         | Category Penetration |
| Core success metric | True basket expansion | AOV + frequency combined | Discovery success    |

## KPIs by Solution

### KPI Set 1 — Tiered Reward Ladder

| KPI                        | Definition                                         | Target           | Type      |
|----------------------------|----------------------------------------------------|------------------|-----------|
| AOV Uplift %               | % increase in average order value post-launch      | +15–25%          | Primary   |
| % Orders Above Tiers       | Distribution of orders across INR 200 / 300 / 400+ | +20% at INR 300+ | Primary   |
| Incremental Revenue/Order  | Additional revenue per order after incentive cost  | Positive margin  | Primary   |
| Items per Order            | Average items in basket                            | +15–20%          | Secondary |
| Cart → Checkout Conv. Rate | Must not drop from reward changes                  | <1% drop         | Guardrail |
| Cost per Order (Incentive) | Reward cost vs incremental revenue                 | Net positive     | Guardrail |

### KPI Set 2 — Basket Completion Engine

| KPI                  | Definition                                           | Target  | Type      |
|----------------------|------------------------------------------------------|---------|-----------|
| Attach Rate          | % orders where user adds at least 1 recommended item | +10–20% | Primary   |
| Items per Order      | Average number of items in a basket                  | +20–30% | Primary   |
| Recommendation CTR   | % of users clicking on suggested items               | 15–25%  | Primary   |
| Category Penetration | Average number of categories per order               | +15%    | Secondary |
| AOV Uplift %         | Overall basket size increase                         | +10–20% | Secondary |

### KPI Set 3 — Order Consolidation Nudges

| KPI                     | Definition                                                     | Target  | Type      |
|-------------------------|----------------------------------------------------------------|---------|-----------|
| Orders/User (Frequency) | Avg orders per user per week — should decrease (consolidation) | -10–15% | Primary   |
| AOV Uplift %            | Average order value increase                                   | +12–18% | Primary   |
| Consolidation Rate      | % of users combining purchases into one order                  | +15–20% | Primary   |
| Items per Order         | Basket size increase                                           | +20–25% | Secondary |
| Repeat Order Interval   | Time between orders — should increase slightly                 | +slight | Secondary |
| User Retention          | Ensure no friction-driven churn from nudges                    | No drop | Guardrail |

KPI Measurement Framework Summary

| Solution             | KPI Focus                                                 | Primary Lever                             | Guardrail                             |
|----------------------|-----------------------------------------------------------|-------------------------------------------|---------------------------------------|
| Tiered Rewards       | AOV uplift, order value distribution, incremental revenue | Pricing psychology — goal-gradient effect | Incentive burn rate vs. margin        |
| Basket Engine        | Attach rate, items per order, recommendation CTR          | Behavioural nudging — completeness bias   | Cart conversion rate must not drop    |
| Consolidation Nudges | AOV uplift, consolidation rate, order frequency           | Behavioural + economic — loss aversion    | User retention — avoid friction churn |

**Final Strategic Insight**

To increase AOV at Zepto, the goal is not to force users to spend more — but to reduce the effort of adding more items, shift user mindset from urgency to completeness, and incentivise higher spend at the right moment in the journey.

This phased approach can realistically drive a **20–30% increase in AOV** within 6 months.